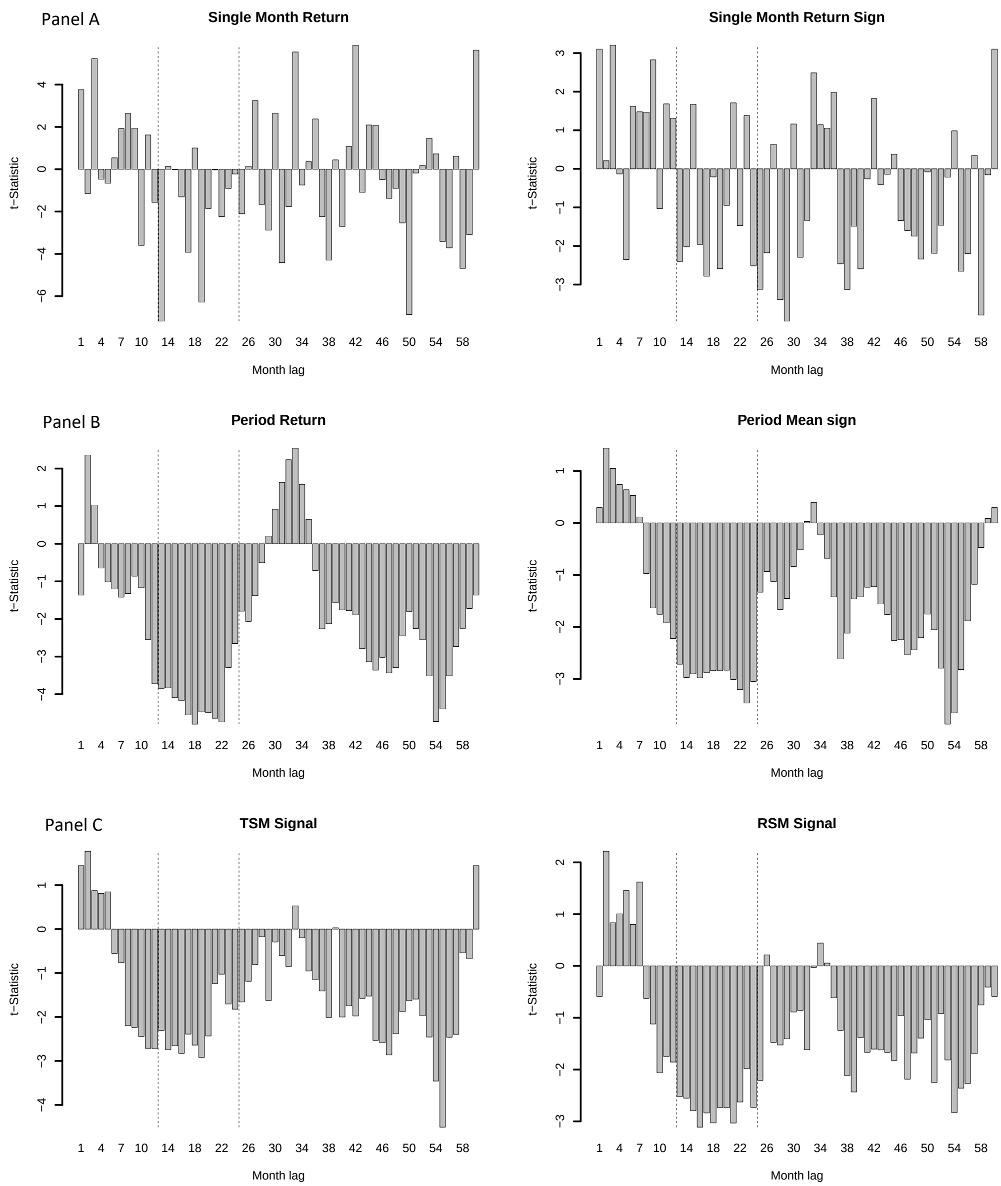

Figure 2: Time series predictability of 12 months TSM and RSM signals.

Reporting the t-statistics of β_h for lags from $h = 1$ to $h = 60$ based on three sets of panel regressions across all assets. In Panel A, we regress the volatility-scaled return r_t^s/σ_{t-1}^s on lagged signal month return $r_{t-h}^s/\sigma_{t-h-1}^s$ and lagged sign of return, $sign(r_{t-h}^s)$, as seen in Equation 7 and 8, respectively. Panel B reports the regression results by using i) 12 months period return $PR_{t-h-11,t-h}$ and ii) 12 months mean return sign $P_{t-h-11,t-h}$ as the explanatory variables. In Panel C, the TSM and RSM signals, namely $S_{t-h-11,t-h}^{TSM}$ and $S_{t-h-11,t-h}^{RSM}$, are used as the regressors. The t-statistics are calculated based on the robust standard errors of Thompson (2011).